

**BAKER
HUGHES**

Rpt Date 05/Dec/2006			Well Name/No Bilabri D4			Section Name/No 12-1/4" Section #3			Mud System SYN-TEQ (PARA)								
Job# 1		Spud Date 09/Nov/2006			MD 817.00 m			Progress 0.00 m		Present Activity Wait							
Operator Peak Petroleum Indust. Limited			Company Rep James Blackmon / Chris Newton			Contractor Dolphin Drilling Ltd			Contractor Rep Ally Tough / Troy Nolan								
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria			Area Offshore		Country/State Nigeria		Rig BULFORD DOLPHIN								
Drilling Assembly						Casing		Volumes	Pump Information								
Bit Gauge in		Mfr		Bit Model		OD in	ID in	Depth m	bbl	Model	Liner in	Stroke in	Eff %	Vol/Stk bbl	Stk Rate SPM	Circ Rate USgal/min	
12 1/4		Baker		Baker Hughes			19 1/2	172.50	Total Hole	Continental Ensco FA-1600	6 1/2	12.00	97.0	0.1194	0		
Drill Collars			Drill Pipe			36	31 3/4	262.00	562.7	Continental Ensco FA-1600	6 1/2	12.00	97.0	0.1194	0		
OD in	ID in	Length m	OD in	ID in	Length m	20	18 3/4	291.60	Active Pits	Continental Ensco FA-1600	6 1/2	12.00	97.0	0.1194	0		
7 15/16	2 3/4	9.02	5	4.276	512.76	13 3/8	12.415	800.00	510								
7 13/16	2 13/16	63.93	5	3	158.56		12 1/4	817.00	Tot Active								
8	2 3/4	18.27							1072.7	Circulation Times							
									In Storage	Surface to Bit		min/stks		Total System		min/stks	
									855	Bottoms Up		min/stks					
Mud Properties						Max Ann Velocity			Hole Information								
Property			Fluid Spec		1	2	3	AV Riser	ft/min	Standpipe Pressure		psi	Water Depth		146.00 m		
Sample From					Active Pit			AV Casing	ft/min	Hole Flow		USgal/min	Riser Booster Rate		USgal/min		
Check Time					23:30			AV Open Hole	ft/min	Solids Analysis							
MD m					817.00			Vc Open Hole	ft/min	Property	1	2		3	4		
TVD m					817.00			Vc Drill Pipe	ft/min	LGS %	6.26						
Bit Depth m					779.00			Min Ann Velocity		LGS lb/bbl	57.06						
Density ppg			10.00-10.50		10.10			AV Riser	ft/min	HGS %	4.84						
Funnel Visc. sec/quart					95.0			AV Casing	ft/min	HGS lb/bbl	71.20						
Test Temp degF					120.0			AV Open Hole	ft/min	Avg Dens Sol sg	3.2973						
Rheol Temp degF					120.0			Bit Information									
PV cP					34			Size	12 1/4 in								
YP lbf/100ft^2					22			Hours On Bit									
10sec Gel lbf/100ft^2					12			Bit Number									
10min Gel lbf/100ft^2					18			BHA Number	4	Rheology							
HTHP Filtrate cc					4.0			Depth In	m	600 RPM	90						
HTHP Cake in/32					2.0			Bit RPM		300 RPM	56						
HTHP Temp degF					250.0			WOB	klbf	200 RPM	47						
HTHP Pressure psi					500			Nozzles	8x18	100 RPM	30						
Retort Water %					31.0			Bit Hydraulics		6 RPM	12						
Retort Base Fluid %					56.0			TFA	1.9880 in^2	3 RPM	11						
Retort Solids %					13.0			Nozzle Vel	ft/sec								
Corrected Solids %					11.1			Bit Press Loss	psi								
Oil:Water Ratio					64:36			HHP / Area	HP/in^2	Hydraulic Analysis							
Alk (Whole Mud-POM) cc/cc					1.00			HHP	%	Behavior Index (n)							
Cl (Whole Mud-Clom) cc/cc					48000					Consistency Index (k) #sec^n/100ft^2							
Ca (Whole Mud-Caom) cc/cc					0					ECD @ Bit Depth ppg							
Excess Lime lb/bbl					1.3					ECD @ Casing Shoe ppg							
Brine Density sg					1.17			Fluid Comments/ Recommendations									
NaCl % wt					0			Circulated btms-up twice during tour.									
CaCl2 % wt					20												
Elect. Stab.V					376.0												

ADVANTAGE Daily Drilling Fluids Report - 30



INTEQ

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Operator Peak Petroleum Indust. Limited	Company Rep James Blackmon / Chris Newton	Contractor Dolphin Drilling Ltd	Contractor Rep Ally Tough / Troy Nolan
Field/Lease Bilabri	Blk/Co/Parish OML - 122 / Nigeria	Area Offshore	Country/State Nigeria
Rig BULFORD DOLPHIN			

Solids Control Equipment							
Name	#	Mfr	Hours hours	Screen Sizes	Act Volume Lost bbl	Res Volume Lost bbl	Comments
CENTRIFUGE	1		0.0		0.0	0.0	
CENTRIFUGE	2		0.0		0.0	0.0	
DESANDER	1		0.0		0.0	0.0	
DESILTER	1		0.0		0.0	0.0	
MUD CLEANER	1		0.0	175, 210	0.0	0.0	
SHALE SHAKER	1		0.0		0.0	0.0	
SHALE SHAKER	1		0.0	3 x 175	0.0	0.0	
SHALE SHAKER	2		0.0		0.0	0.0	
SHALE SHAKER	2		0.0	3 x 110	0.0	0.0	
SHALE SHAKER	3		0.0	3 x 175	0.0	0.0	
SHALE SHAKER	3		0.0		0.0	0.0	
Total Volume Lost					0	0	

Volumes							
Additions bbl		Losses bbl		Total Volumes bbl			
Mud Added	Weight Materials	Downhole	Left In Pit	Starting Volume	1927.7	Riser w/o Pipe	209.1
Brine	Water	Cased Off	Trip Losses	Daily Additions		Casing w/o Pipe	383.2
Base Fluid	Product	Left In Hole	Injected	Daily Losses		Open Hole w/o Pipe	8.1
Recycled	Other	Discharged	Spill To Environment	Ending Volume	1927.7	String Displacement	37.6
		SCE	Onshore Disposal	Net Change		String Capacity	37.2
		Evaporation	Returned			Total Hole w/ Pipe	562.7
		Other Losses				Total Active	1072.7
						Total Reserve	855.0

IADC Hours							
Drilling Formation	0	Tripping	0	Circulate	1	Wait	23

Primary Currency USD		Secondary Currency		Totals USD	
Daily Product Cost	0.00	Daily Product Cost	0.00	Primary Product	184799.10
Daily Tax	0.00	Daily Tax	0.00	Secondary Product	0.00
Debit/Credit	0.00	Debit/Credit	0.00	Primary Engineering	35606.25
Daily Engineering Cost	1350.00	Daily Engineering Cost		Secondary Engineering	0.00
Total Daily Cost	1350.00	Total Daily Cost	0.00	Primary Total	220405.35
Total Inventory Value	585092.50	Total Inventory Value	0.00	Secondary Total	0.00
				Deck Load	755008 lb

Products and Services													
Product	Units	Start	Transferred In	Received	Returned	Lost	Daily Use	Final	Unit Price USD	Daily Cost USD	Active Ending Concentrations lb/bbl	Reserve Ending Concentrations lb/bbl	
Bulk													
MIL-BAR	1000 kg	145						145	540.00		89.44	103.92	
Oil Based Product													
CARBO-GEL	25 kg	80						80	264.28				
MIL-LIME	25 kg	80						80	34.25				
OMNI-COTE	55 USgal	4						4	2150.00				
OMNI-MUL	55 USgal	16						16	995.06		1.66	0.62	
OMNI-PLEX	55 USgal	10						10	1618.95		0.83	0.31	
OMNI-TEC	55 USgal	14						14	925.00		0.88	0.33	
PARA-TEQ	1 bbl	1315						1315	280.00				
Water Based Product													
CAUSTIC SODA	25 kg	32						32	37.89				
MIL-GUAR	25 kg	50						50	135.00		0.57	0.66	
SOLUFLAKE	25 kg	80						80	57.24				
Xanthan Gum	25 kg	40						40	345.22		0.98	1.14	
XCIDE 102	55 USgal	1						1	2508.30		0.01	0.01	
LCM													
CALCIUM CARBONATE - FINE	25 kg	160						160	22.68				
CALCIUM CARBONATE - MED	25 kg	120						120	22.68		1.86	2.16	
KWIKSEAL - MEDIUM	25 kg	35						35	70.52				
MIL-PLUG FINE	25 kg	56						56	27.01				
Other													
BLACK MAGIC SF T	25 kg	120						120	117.25				
CALCIUM CHLORIDE (97%)	25 kg	320						320	23.21		2.15	0.80	
SAW DUST	25 kg	29						29	12.50				

BHDF Fluids Rep	BHDF Rep Phone	Warehouse	Warehouse Phone	Coordinator	Daily Cost	Cumulative Cost	Inventory Value	Page 2
Jerry Laydoo / Ayo Okomayin	234-803-402-0440	Onne	234-84-462609	Lawson Ogaree	1350.00 USD	220405.35 USD	585092.50 USD	

Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.